Mid-Biennial Budget Update

Finance & Administration Committee

October 5, 2021

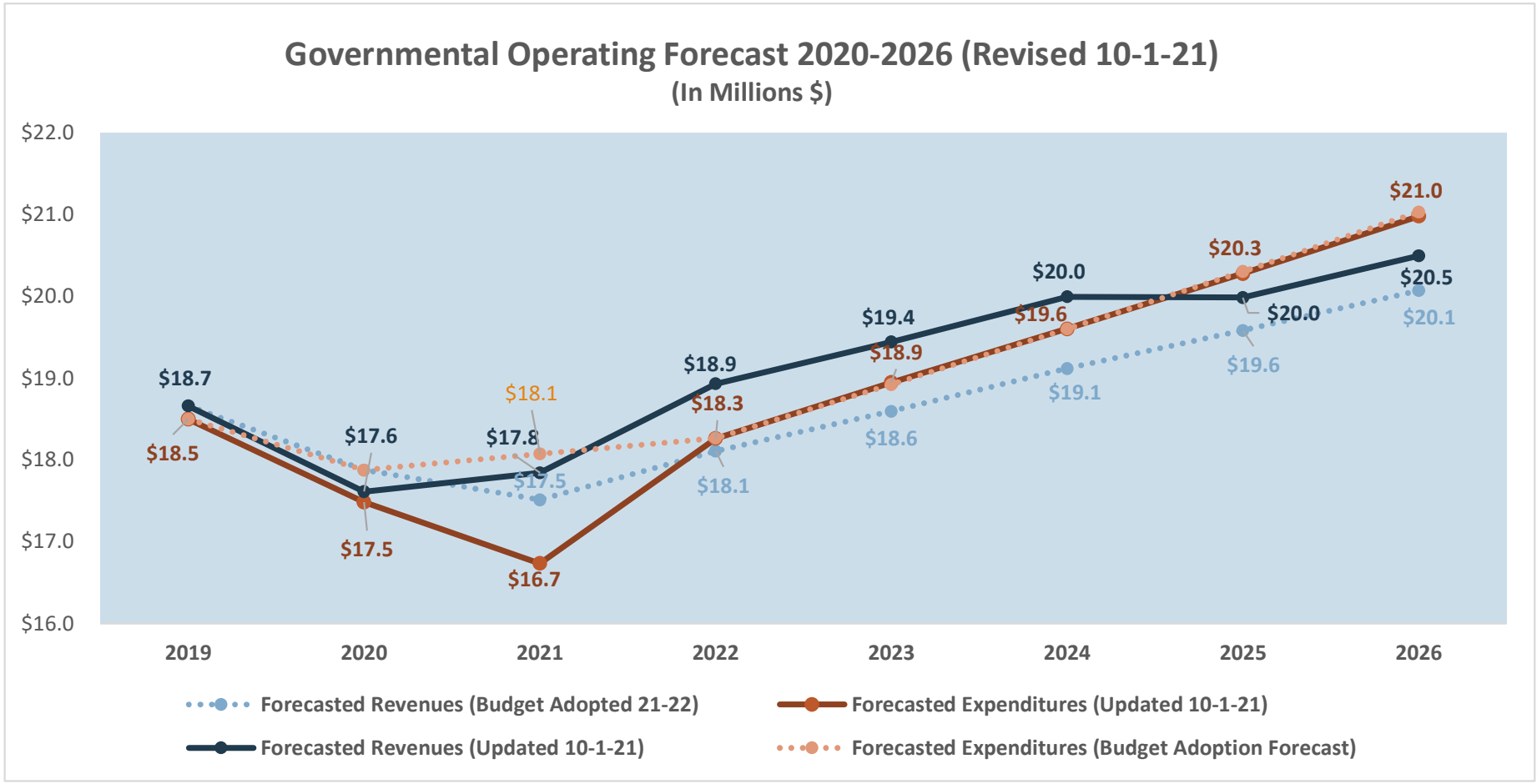
Current Conditions

- Recovery from Covid still underway.
- City revenues declined $1.1 million from 2019 to 2020, with a decrease in expenditures of $1 million.
- New expenditures and filling of vacant positions were frozen in 2020 to offset revenue declines.
- City received $1.9 million in the first “tranche” of American Rescue Plan Act (ARPA) funding with spending recommendations forthcoming to Council.

Current Conditions (cont'd)

- Labor negotiations not finalized for all bargaining units.
- Facilities, Streets, and Parks budget may change based on forthcoming Prothman public works study recommendations.
- City has approximately 15% of its budgeted positions vacant as of 10-19-21.
- Overall City maintenance and service-related expenditures lower than previous years.

Revised Governmental Operating Forecast 10-1-21 (Includes ARPA)

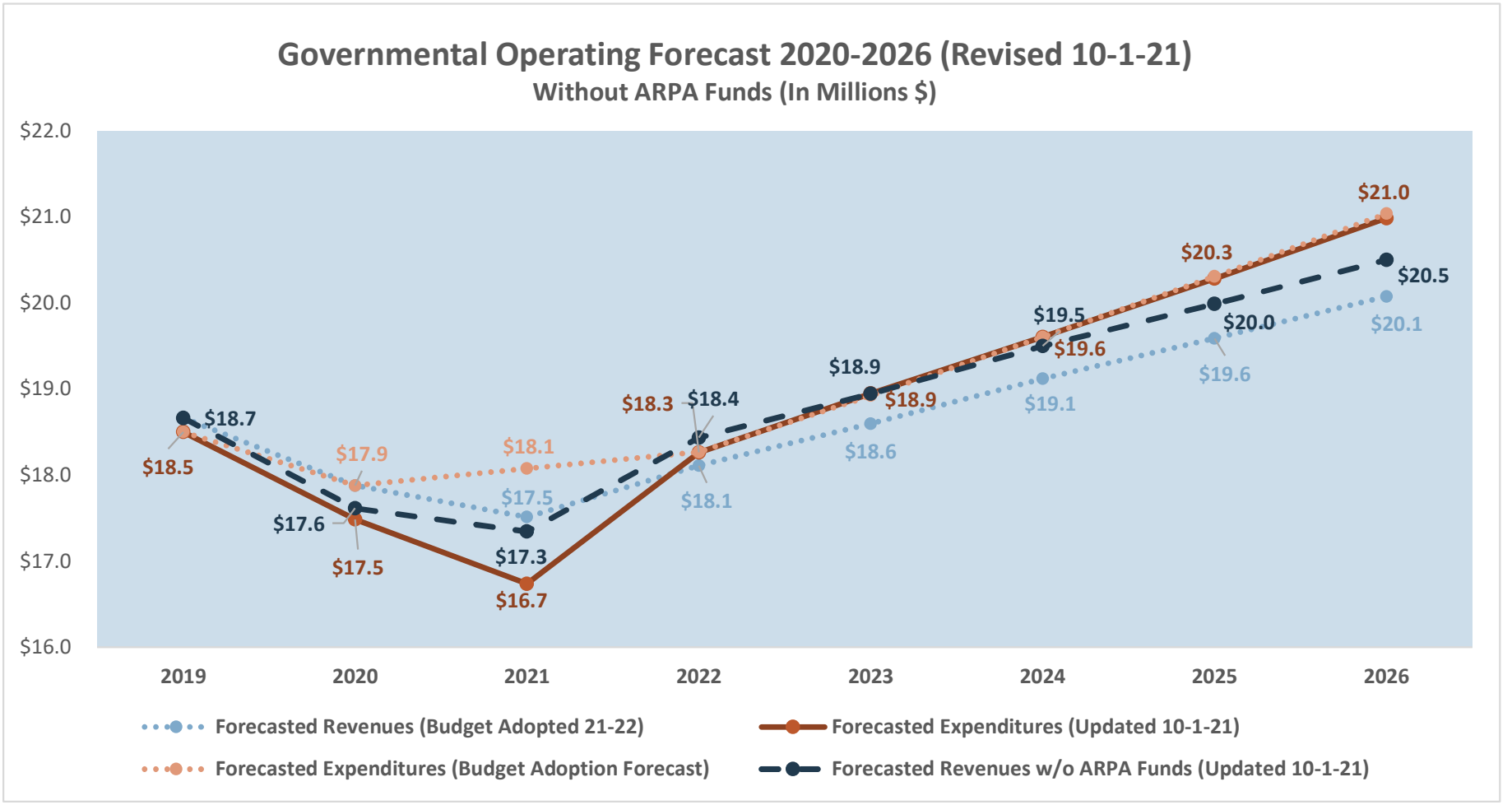


*Revenues assume council annual approval of 1% Property Tax increase.

Revised Operating Forecast-Highlights

- Revenues expected to come in at $17.8 million for 2021, which includes $500K of ARPA revenues.
- Revenues over expenditures expected through 2024 with ARPA revenues appropriated at $500K annually each year, ending 2024.
- Governmental operating expenses projected at $16.7 million in 2021, reflecting the impact of staff vacancies, reduced programs/service levels and reduced development activity.
- Forecast does not include potential expenditure increases with ARPA funds.

Revised Governmental Operating Forecast 10-1-21 (Excludes ARPA)



*Revenues assume council annual approval of 1% Property Tax increase.

Detailed Governmental Operating Revenue Chart

Governmental-Type Revenues 2020-2026

Revenue	Actual 2020	Projected 2021	Projected 2022	Projected 2023	Projected 2024	Projected 2025	Projected 2026
ARPA TRANSFER IN	$ -	$ 500,000	$ 500,000	$ 500,000	$ 500,000	$ -	$ -
Property Tax	$ 8,126,262	$ 8,223,810	$ 8,310,160	$ 8,397,417	$ 8,485,590	$ 8,574,688	$ 8,664,722
Sales & Use Tax/B&O	$ 3,060,152	$ 3,196,000	$ 3,584,427	$ 3,856,731	$ 4,165,270	$ 4,404,632	$ 4,658,451
Utility Tax	$ 2,410,645	$ 2,577,186	$ 2,729,895	$ 2,806,544	$ 2,886,233	$ 2,969,083	$ 3,055,221
All other Taxes	$ 7,850	$ 12,632	$ 12,885	$ 13,143	$ 13,405	$ 13,674	$ 13,947
Fines, Fees, Charges for Services (inc. CD)	$ 2,657,905	$ 2,337,561	$ 2,781,163	$ 2,838,691	$ 2,897,474	$ 2,957,538	$ 3,018,913
Intergovernmental (inc. Streets)	$ 1,350,761	$ 997,986	$ 1,015,225	$ 1,032,810	$ 1,050,746	$ 1,069,041	$ 1,087,702
Total "Governmental "Type Revenues	**$ 17,613,576**	**$ 17,845,175**	**$ 18,933,756**	**$ 19,445,335**	**$ 19,998,717**	**$ 19,988,656**	**$ 20,498,956**
*Excludes Cares Act Funding in 2020							

*Revenues assume council annual approval of 1% Property Tax increase.

Revised Operating Forecast-Revenues

- Sales Tax was flat in 2020, is increasing $100K over forecast in 2021 due to increases in the state Criminal Justice Sales Tax allocation.
- Increase in Utility Tax revenue over forecast due to resumption of business activities resulting in increased usage, and rate increases in out-years.
- Community development revenues dropped in 2021 due to slow activity. Anticipated development in future years is incorporated into fee revenue increases in 2022-26.

Detailed Governmental Expenditure Chart

Governmental Type Operating Expenditures 2020-2026

Fund Type	Actual 2020	Estimated 2021	Estimated 2022	Projected 2023	Projected 2024	Projected 2025	Projected 2026
Administrative Departments	$ 3,602,481	$ 3,672,652	$ 3,919,309	$ 4,069,995	$ 4,212,445	$ 4,359,881	$ 4,512,476
Police	$ 4,419,226	$ 4,864,964	$ 4,946,962	$ 5,120,106	$ 5,299,309	$ 5,484,785	$ 5,676,753
Fire & Emergency Management	$ 3,246,776	$ 3,290,204	$ 3,556,152	$ 3,708,992	$ 3,838,806	$ 3,973,165	$ 4,112,225
Parks Operations & Maintenance	$ 1,999,631	$ 1,707,577	$ 1,878,516	$ 1,944,264	$ 2,012,313	$ 2,082,744	$ 2,155,640
Streets Operations & Maintenance	$ 1,316,893	$ 916,887	$ 1,055,000	$ 1,103,917	$ 1,142,554	$ 1,182,543	$ 1,223,932
Non-Departmental Operating(Art, Sustainability, Misc.)*	$ 113,589	$ 166,281	$ 169,607	$ 172,999	$ 176,459	$ 179,988	$ 183,588
Court, Public Defender, Prosecutor, HR Legal Services	$ 314,614	$ 324,500	$ 330,990	$ 337,610	$ 344,362	$ 351,249	$ 358,274
Human Services	$ 232,287	$ 232,287	$ 232,287	$ 240,417	$ 248,832	$ 257,541	$ 266,555
Community Development & Building General Expenditures	$ 1,556,193	$ 1,201,171	$ 1,490,960	$ 1,546,559	$ 1,604,207	$ 1,663,978	$ 1,725,950
Developer-Reimbursed Expenditures	$ 683,126	$ 360,934	$ 683,126	$ 703,620	$ 724,728	$ 746,470	$ 768,864
Total "Governmental-Type" Expenditures	**$ 17,484,816**	**$ 16,737,457**	**$ 18,262,908**	**$ 18,948,478**	**$ 19,604,016**	**$ 20,282,344**	**$ 20,984,258**

*Non-departmental operating expenditures exclude an annual support transfer to Community Development and includes funding for Art and Sustainability programs, citywide memberships and dues, citywide training and studies as required, employee recognition events and the volunteer event. Does not include appropriated fund balance transfers.

** Chart excludes CARES act expenditures in 2020.

Revised Operating Forecast- Expenditures

- Expenditures for 2021 projected nearly $1.4 million under forecast:
  - Significant vacancies in the City.
  - Lower service levels.
  - Decrease in development activity.

- Expenditures for 2022 projected at $1.6 million over 2021:
  - Filling of vacant positions.
  - Resumption of services reduced in 2020 and 2021.
  - Increased maintenance activities in parks and streets (within appropriated amounts).

Long-Term Governmental Operating Forecast

- 2022 predicted to be a stronger recovery year.
- With the expiration of ARPA funds in 2024, the City is still projected with a deficit in General Governmental funds of $300k in 2025.
- Future forecast anticipates full staffing levels at the City into the future (111.55 FTE) with annual salary and benefit increases.

Questions

